

2024 JP Morgan Healthcare Conference

Agilent Presentation

January 9, 2024

Safe Harbor Statement and Footnotes

These presentations contain forward-looking statements (including, without limitation, information, and future guidance on the company's goals, priorities, revenue, revenue growth, earnings per share, operating margin, operating cash flow, capital expenditures, capital allocation, growth opportunities, new products and solutions, customer service and innovation plans, financial condition and considerations, impact of acquisitions, share repurchases, dividends, the markets the company sells into, operations, and manufacturing site plans) that involve risks and uncertainties that could cause results of Agilent to differ materially from management's current expectations. The words "anticipate," "plan," "estimate," "expect," "intend," "will," "should," "forecast," "project" and similar expressions, as they relate to the company, are intended to identify forward-looking statements.

In addition, other risks that the company faces in running its operations include the ability to execute successfully through business cycles; the ability to successfully adapt its cost structures to continuing changes in business conditions; ongoing competitive, pricing and gross margin pressures; the risk that our strategic and cost-cutting initiatives will impair our ability to develop products and remain competitive and to operate effectively; the impact of geopolitical uncertainties on our markets and our ability to conduct business; the impact of currency exchange rates on our financial results; the ability to improve asset performance to adapt to changes in demand; the ability to successfully introduce new products at the right time, price and mix, and other risks detailed in the company's filings with the Securities and Exchange Commission, including our annual report on Form 10-K for the year ended October 31, 2023.

The company assumes no obligation to update the information in these presentations. These presentations and the Q&A that follows include non-GAAP measures. Non-GAAP measures exclude primarily the impacts of asset impairments, restructuring and other related costs, amortization of intangibles, transformational initiatives, acquisition and integration costs, special compliance costs, change in fair value of contingent consideration, business exit and divestiture costs (gain), loss on extinguishment of debt, pension settlement loss and net loss on equity securities. We also exclude any tax benefits that are not directly related to ongoing operations and which are either isolated or are not expected to occur again with any regularity or predictability. With respect to the company's guidance, most of these excluded amounts pertain to events that have not yet occurred and are not currently possible to estimate with a reasonable degree of accuracy. Accordingly, no reconciliation to GAAP amounts has been provided.

Unless otherwise noted, all revenue growth figures in this presentation represent core revenue growth. Core revenue growth excludes the impact of currency and any acquisitions or divestitures completed in the prior twelve months.

Agilent Technologies: Growth over the long-term

FY23
Revenue

FY23
OP%⁽¹⁾

\$6.8B

27.4%

+7%

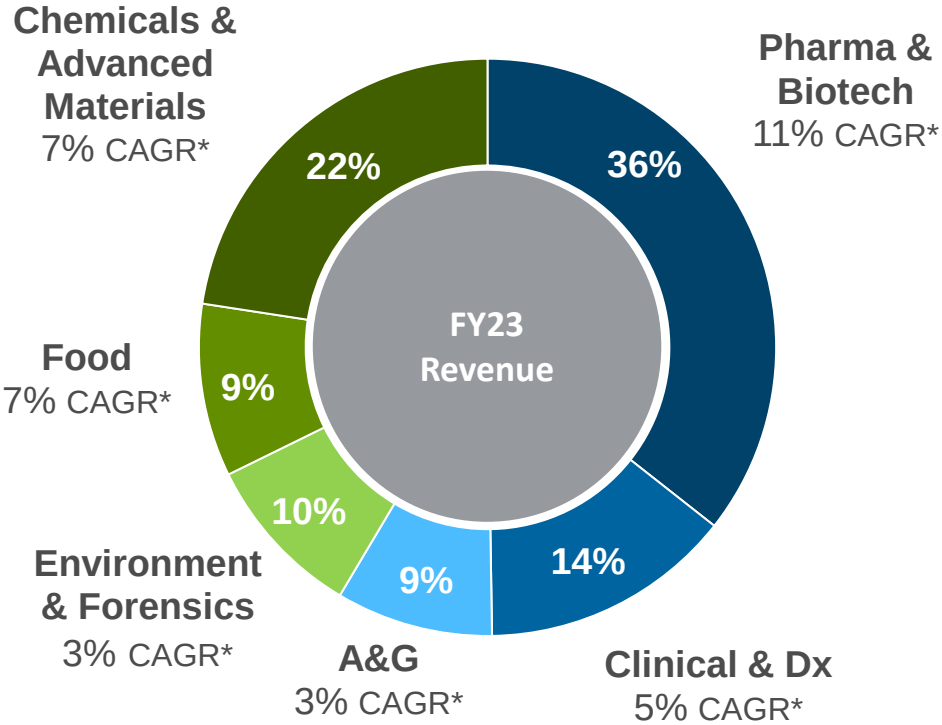
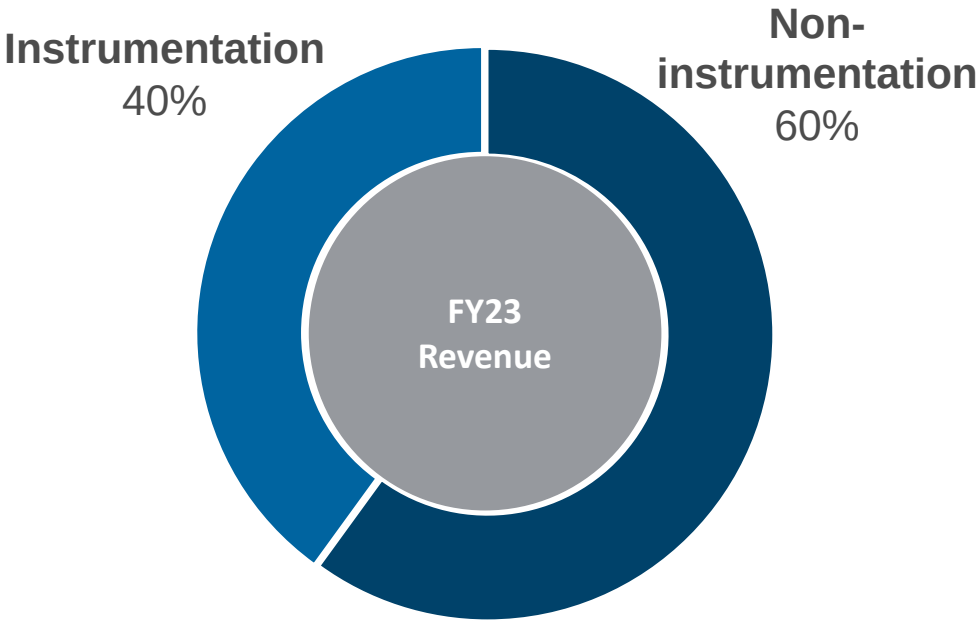
4 year
Compound Annual Revenue Growth

+100 bps/yr

4 year
Operating Margin Expansion⁽¹⁾

+15%

4 year
Compound Annual EPS Growth⁽¹⁾



(1) Presented on a non-GAAP basis, reconciliations to the closest GAAP equivalent provided

* 4 year CAGR

A leading lab partner with unsurpassed capabilities and scale

Agilent's shareholder value creation model

driving strong revenue and earnings growth



Above Market
Growth

5 – 7%
Core



Operating Margin
Expansion

50 bps to
100 bps



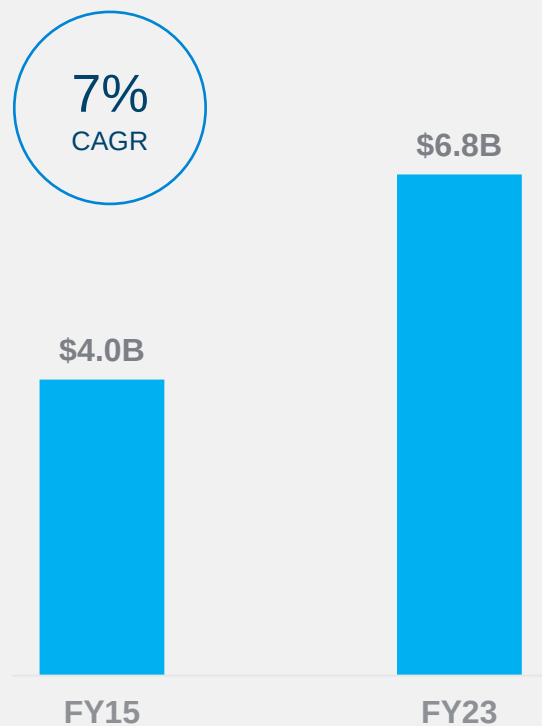
Balanced Capital
Deployment

Continued balanced
deployment

Delivering leveraged earnings growth

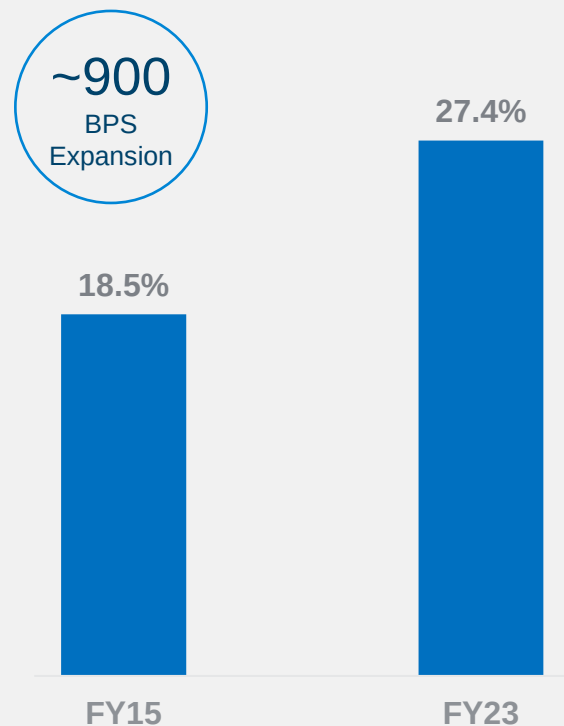
Our 'Build and Buy' growth strategy continues to deliver

Above Market Organic Growth



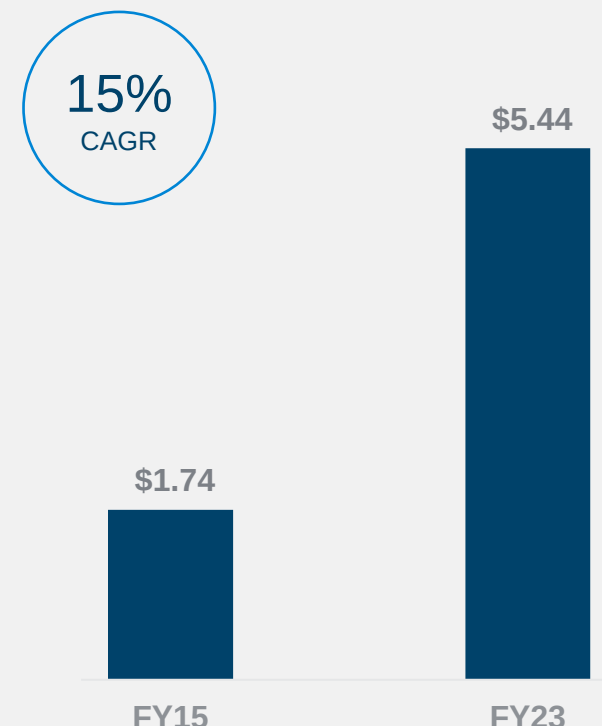
REVENUE

Operating Margin Expansion⁽¹⁾⁽²⁾



OPERATING MARGIN

Superior Earnings Growth⁽¹⁾



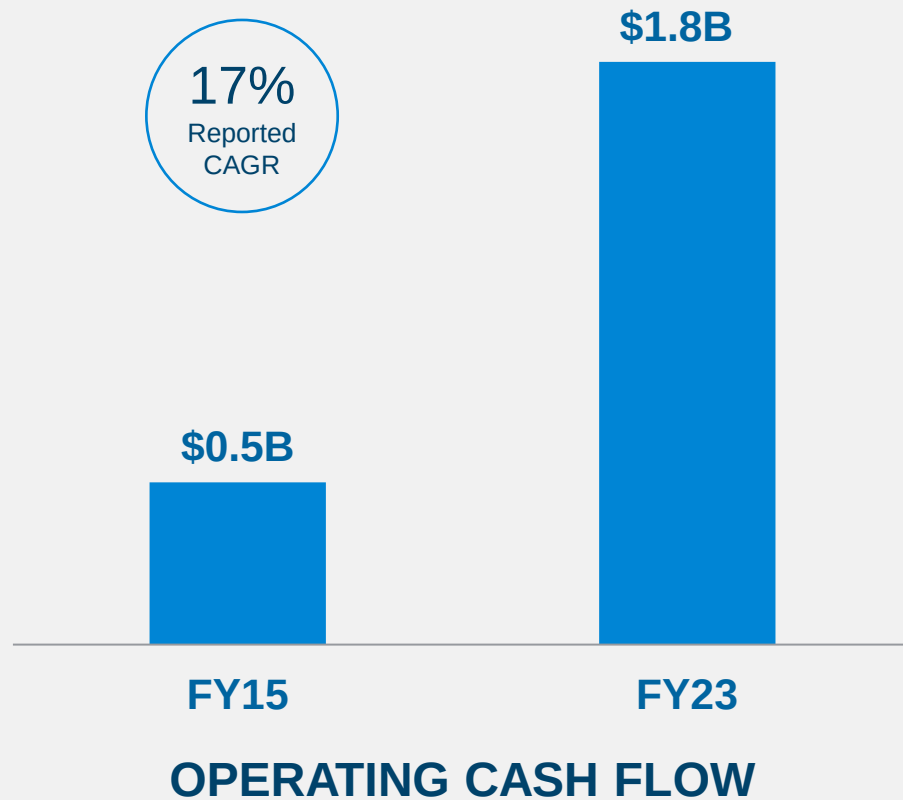
EARNINGS PER SHARE

(1) Presented on a non-GAAP basis, reconciliations to closest GAAP equivalent provided.

(2) OM% has been adjusted for pension expense reclassification and is comparable across all periods shown

Strong cash generation enables balanced capital deployment

Robust Cash Generation



Investing for Growth

M&A:	\$3.0B	Since FY15
Cap Ex:	\$1.6B	Since FY15

Returning Capital to Shareholders

Dividends:	\$1.8B	Since FY15
Share Repurchases:	\$5.0B	Since FY15



- **A diversified business**
- **Multiple growth drivers**
- **Attractive long-term markets**

Agilent competes in large, attractive growth markets

The **\$65B** Opportunity
4-6% Long-Term growth



Pharma & Biotech

\$21B⁽¹⁾
5–7%
LT growth



Clinical & Diagnostics

\$15B⁽¹⁾
5–7%
LT growth



Academic & Government

\$13B⁽¹⁾
3–5%
LT growth



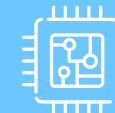
Environmental & Forensics

\$6B⁽¹⁾
2–4%
LT growth



Food

\$5B⁽¹⁾
2–4%
LT growth



Chemical & Advanced Materials

\$5B⁽¹⁾
3–5%
LT growth

Our end markets enable fundamental societal missions that will sustain long-term growth:

- o the advancement of human health
- o a cleaner and more sustainable world
- o the safety of our food and water supply

(1) 2024 Total Available Market. Market size and long-term growth rates per company estimates

Pharma & Biotech was challenged in '23, but long-term drivers remain



Pharma & Biotech

Agilent FY23: \$2.4B, -2% growth

Market Drivers:

- o Changing demographics are driving increased health care spending
- o Success of personalized medicines prompting further investment into innovative biologic-based therapies
- o Move to multi-attribute monitoring during drug production driving new testing requirements
- o Rapid growth in nucleic acid-based therapeutics prompting the need for new analytical testing workflows and specialized production capacity

Opportunities in Applied, Academic and Clinical Markets



Applied Markets⁽¹⁾

Agilent FY23: \$2.8B, +3% growth

Market Drivers:

- o Strong demand for PFAS testing capabilities with new regulations, increased enforcement and consumer awareness.
- o Substantial multi-year public investments in national/regional semiconductor fabrication capabilities
- o New investment in EV and energy storage spurring development and demand
- o Need for turn-key solutions and increased automation
- o Onshoring / reshoring of supply chains to increase self-reliance and resilience

(1) Environmental & Forensics (\$0.7B), Food (\$0.6B), and Chemical & Advanced Materials (\$1.5B) end markets



Academic & Government

Agilent FY23: \$0.6B, +6% growth

Market Drivers:

- o Strong government funding for Biomedical research technology
- o Increase in academic drug discovery using pharma to fund research



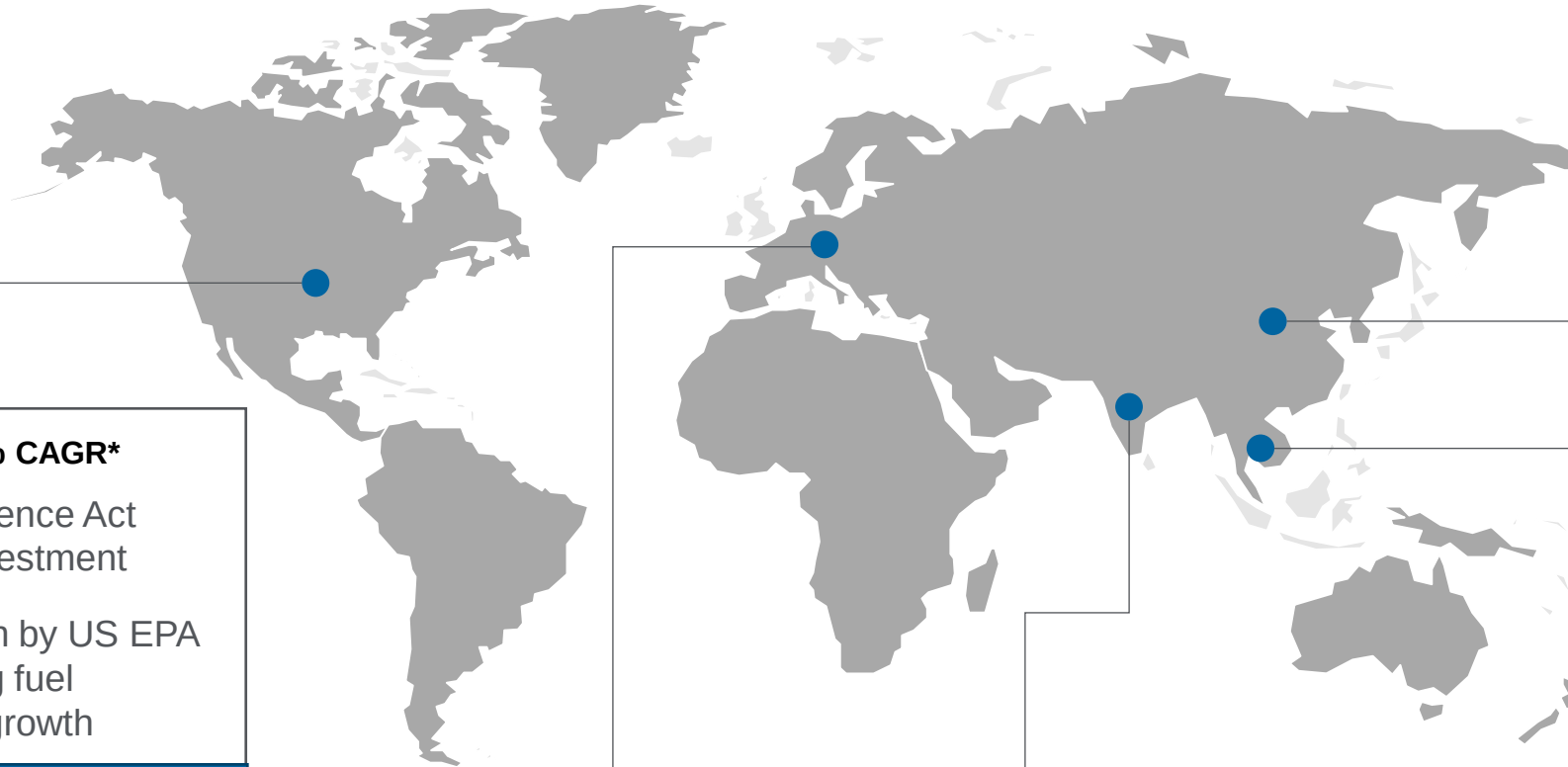
Clinical & Diagnostics

Agilent FY23: \$1.0B, +2% growth

Market Drivers:

- o Increasingly personalized therapies that require advanced diagnostics
- o Investment in cancer testing and therapy development to drive improved health outcomes

Regional opportunities expected to fuel long-term growth



Americas: +8% CAGR*

US Chips & Science Act driving semi investment

PFAS regulation by US EPA and IRA funding fuel environmental growth

Europe: +6% CAGR*

Horizon Europe program funding for food, renewable energy, health and environmental research

India: +9% CAGR*

Pharma capacity expansion as multi-nationals diversify their production footprint

China: +8% CAGR*

Government investment in healthcare to service an aging population

AsiaPac: +6% CAGR*

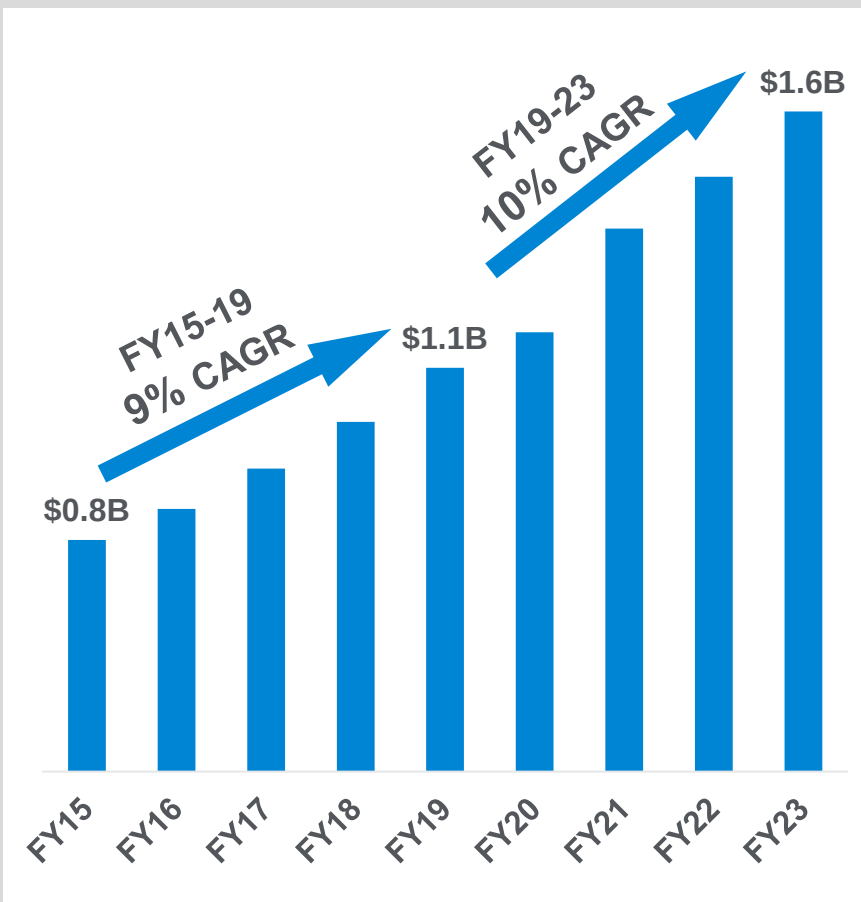
Multi-national investment target to deliver low-cost ex-China production

* 4 year Revenue CAGR

Agilent CrossLab Services

Driving competitive differentiation, durable growth and profitability for Agilent

CrossLab Group Revenue

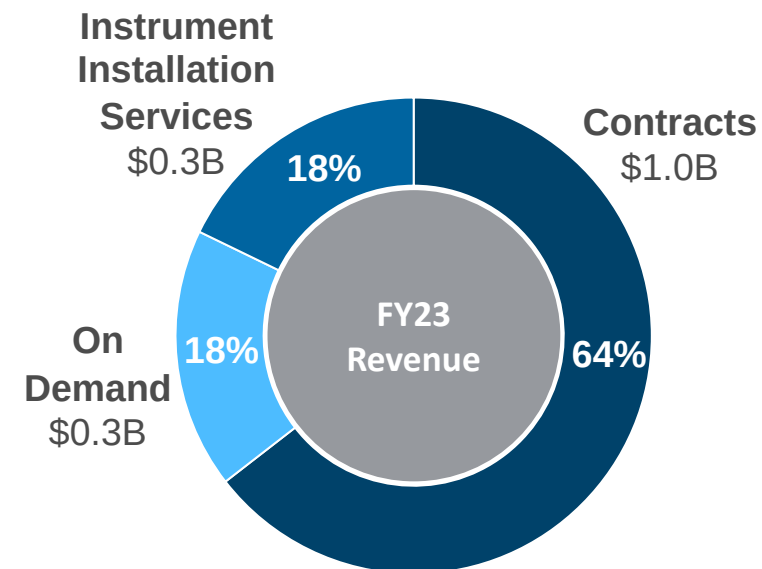


- o Our best-in-class Customer Service Organization drives **customer satisfaction and loyalty**

- o **Unsurpassed scale** enables **continued margin expansion**

- o A track record of **market-leading growth** with multiple drivers that are **sustainable for the long-term**

FY23 Revenue Breakdown

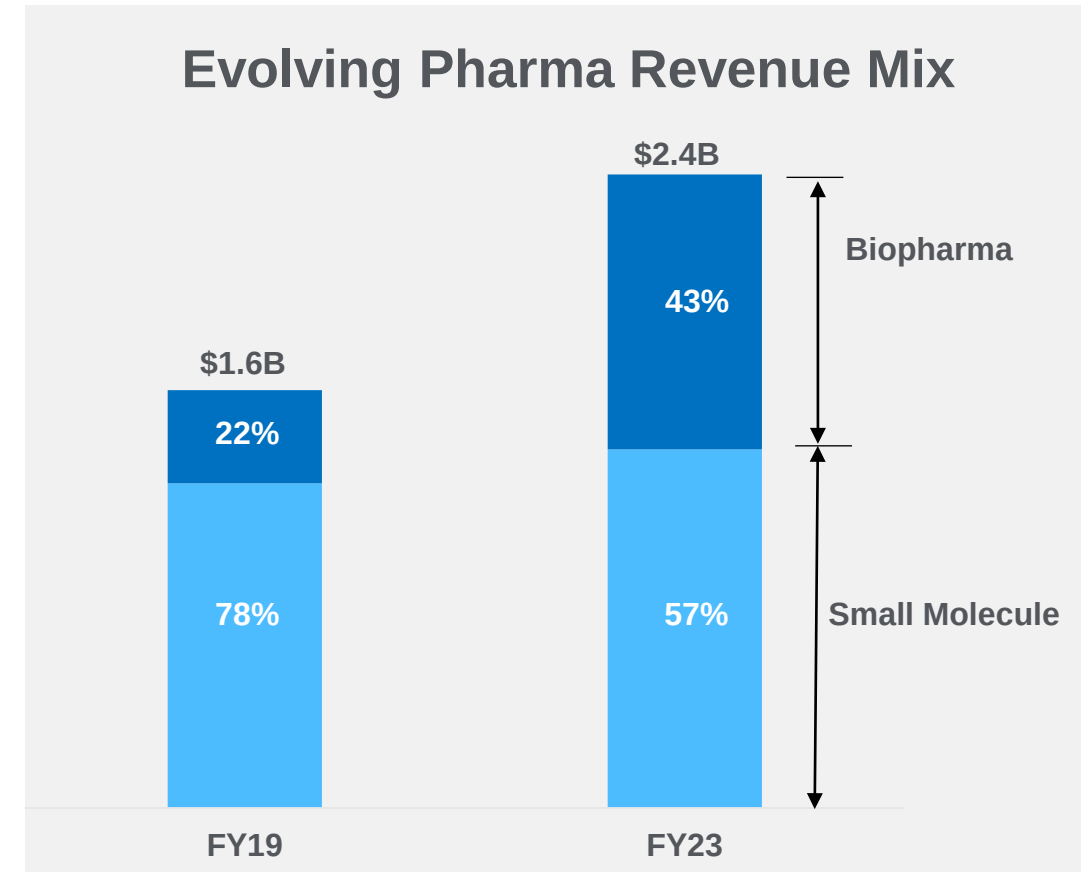


Contracts & On Demand business drive durable ACG growth throughout economic cycles

Accelerating Agilent's growth in Biopharma

Biopharma is expected to be the main growth opportunity for Agilent

- o We are **continuing to invest to deliver the innovative solutions** that Biopharma customers need
- o The Inflation Reduction Act provisions may result in an **accelerated shift from small molecule-based drugs to biologics**
- o Emerging Biotech funding challenges are transitory as **good science will find capital to support development** via the public, private, or M&A markets



4 year Biopharma CAGR of 23%

Agilent's leadership role in analytical tools for biotherapeutics

From precision analysis to GMP-grade manufacturing: A full-spectrum approach



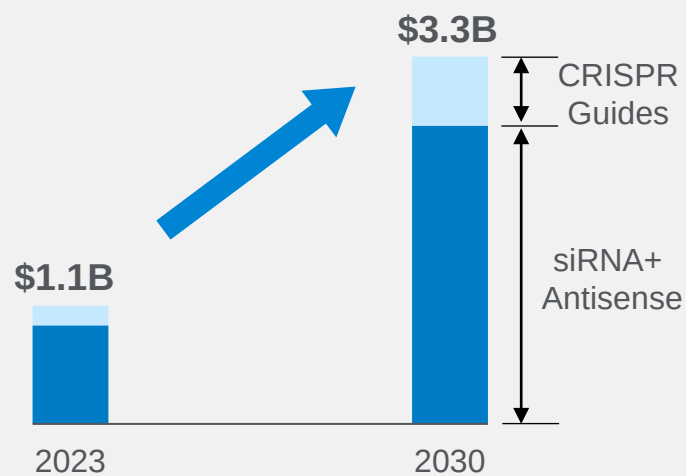
Oligonucleotide therapeutics move toward larger patient populations

FY23 Revenue: \$350M+

FY23 Growth: 19%

4 year CAGR: 30%+

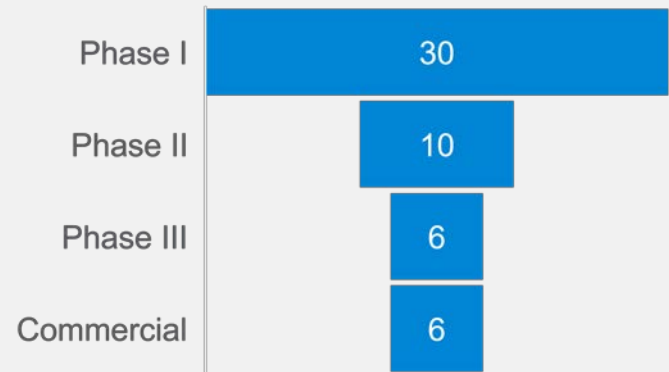
Oligo Tx CDMO SAM Forecast⁽¹⁾



NASD has a **market-leading position** in a **high-growth market** that is expected to **triple** by the end of the decade

NASD is supporting **50+ clinical & commercial programs** across a range of indications

NASD Active Programs



Expanding Treatment Targets

Indication Area	Potential Patients	Active NASD Program
Cardiovascular	>500M	X
Infectious Disease	>100M	X
Alzheimer's	>20M	X
Inflammation	>15M	X
Ocular	>1MM	X

Pharma is increasingly targeting indications with **large patient populations**

(1) Market size and long-term growth rates per company estimates.

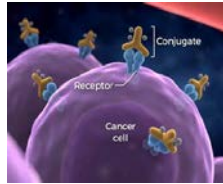
Agilent in Cell Analysis – Differentiated portfolio focused on growth

FY23 Revenue: ~\$400M+
4 year CAGR: 10%+

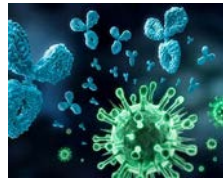
Market TAM: \$5B⁽¹⁾
LT Growth: 5-7%⁽¹⁾

Investing in high growth segments

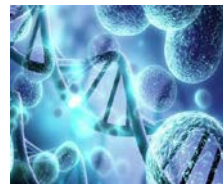
Immunology,
Immuno-oncology,
and Immunotherapy



Emerging Therapeutic
Modalities:
Cell & Gene Therapy



Infectious Disease,
Virology, & Vaccine
Research



Strong end markets with robust long-term drivers

Aging global population

Continuing advances in personalized
medicine & use of the immune system
in diagnosing & treating disease

Increasing relevance & effectiveness
of cell & gene-based therapies

Customer capital funding constraints
are transient

Broad and compelling workflow solutions



Innovation that
drives differentiation



Superior customer
experience



Interoperability across
a broad and unique
portfolio addressing key
market needs

(1) Market size and long-term growth rates per company estimates.

PFAS – Increased focus on emerging “forever chemicals”

New regulations, funding and consumer awareness driving testing demand globally

Market Drivers

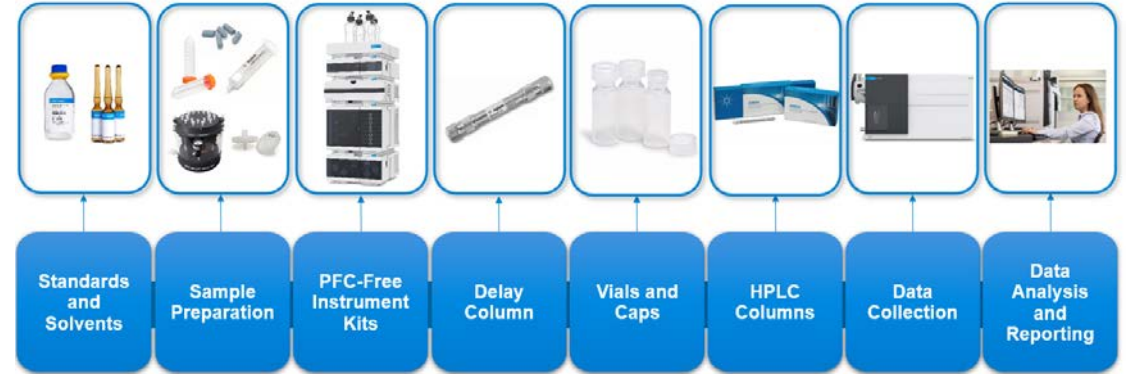


\$250M⁽¹⁾
SAM Opportunity

15-20%⁽¹⁾
LT Market Growth

- o US & European **regulations driving rapid expansion** of PFAS testing in water & soil
- o New laws are **expanding the market** to food, air, and consumer goods, with potential to be a \$1B market opportunity
- o Commercial **testing capacity needs to ramp** to support expected regulatory burden and remediation needs

Agilent Industry Leading Solutions



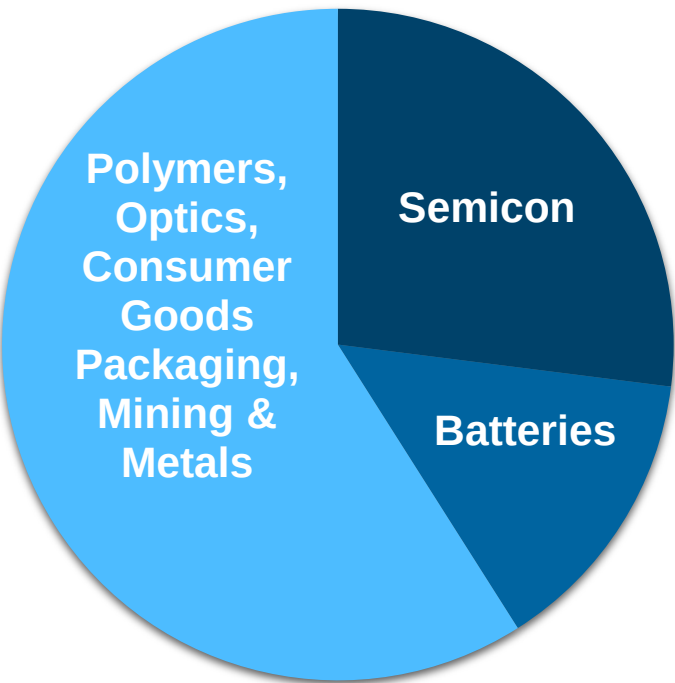
- o **Complete workflow solutions** for all USEPA PFAS methods enable customers to launch compliant workflows quickly
- o **Award-winning** sample prep consumables, industry leading 6495 LCMS and Revident QTOF LCMS systems, and data analysis software provide best-in-class solution

(1) Market size and long-term growth rates per company estimates.

Advanced Materials Market⁽¹⁾ – an engine of technology innovation

Well established leadership position enables a unique growth opportunity for Agilent

Advanced Materials SAM (\$1.1B)



Semiconductors: \$300M market⁽²⁾, **+8%** LT Growth⁽²⁾

- o Long-term semi demand is driven by the high-growth technologies they enable: Gen AI, 5G, Cloud Computing, and Automotive Electronics among others
- o Local semi production capacity viewed as a critical national capability, driving global government investment
- o Advanced chips require better materials characterization and contamination monitoring to deliver expected yield

Batteries: \$200M market⁽²⁾, **+10%** LT Growth⁽²⁾

- o Demand for EVs, energy storage and next-gen battery development driving expansion of global production capacity
- o US and EU Government initiatives require regional testing infrastructure for validating materials, production and recycling

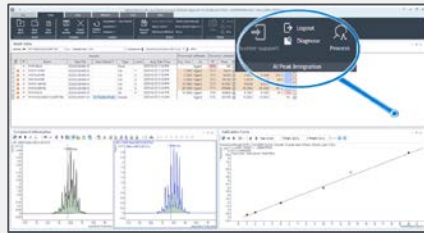
(1) Advanced Materials was 31% of Agilent's FY23 Chemicals and Advanced Materials end market revenue
(2) Market size and long-term growth rates per company estimates

Further digitizing Agilent's business with AI

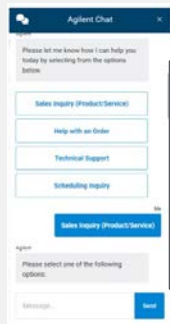
Contributing to future growth and continued margin expansion

Customers

Lowering labor costs, improving and simplifying the interpretation of results



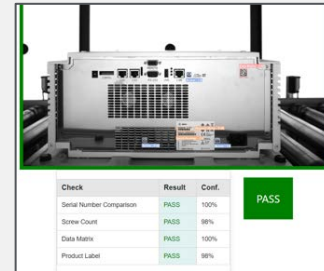
Technology from our Virtual Controls acquisition aiding interpretation of results for mass spectrometry analysis



Virtual Assistant for routine support inquiries for 24x7, real-time support

Operations

Reducing our costs and improving speed-to-market



Virtual instrument inspection for lower costs and improved quality



Utilizing generative AI tools to accelerate software development

ESG is tied to our mission to advance the quality of life

Environment

Net-zero targets validated by the **Science Based Targets initiative**

Engaged suppliers on program to reduce **Scope 3 emissions**

33% reduction in CO2 emissions since 2014

28% reduction in water since 2014



Social

85% employee engagement score is competitive with World's Best Workplaces*

Great Place to Work® Certification across all operations, including 27 countries and territories

30% of leadership positions held by women



Governance

Diverse board with broad range of skills, experience, and perspectives

Robust enterprise risk management, overseen by Audit and Finance Committee

Strong emphasis on **pay-for-performance**



*According to the Great Place to Work employee engagement benchmark study.

Agilent offers the broadest set of sustainable solutions to drive growth



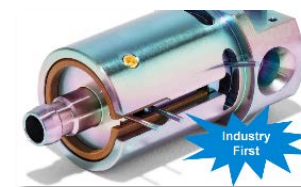
Most comprehensive trade-in and buy-back program for instrument recycling and refurbishing.



A large and growing number of ACT-labeled products.



Energy management and asset utilization solutions to reduce energy, waste, solvents, and reagents in the lab.



Hydrolnert source replaces helium with hydrogen, a renewable energy, as the carrier gas for several GC/MS applications.



InfinityLab Poroshell 120 LC columns designed to reduce solvent consumption by as much as 86%.



Oil-free vacuum pumps for GC/MS are clean, green, and affordable, eliminating the need for oil in the analytical process.



The Intuvo 9000 GC direct heating system requires 50% less electrical power than a conventional GC.



InfinityLab SFC solutions limit solvent consumption and waste.



4210 MP-AES runs on air and does not use water or combustible gases to analyze samples.



Agilent 5800/5900 ICP-OES RF generator and Mains Power Module reduce electrical power required by 40% compared to previous models.

Our One Agile Culture: An enduring competitive differentiator

We are as intentional about culture as we are about strategy and innovation



Instrument Business Outlook
Company of the Year



Q1'24 and FY'24 guidance

Based on forecasted currency exchange rates

Q1'24 Guidance ⁽¹⁾		
	Low End	High End
Net Revenue (\$M)	\$1,555	\$1,605
<i>Y/Y Core Revenue Growth</i>	<i>-11.3%</i>	<i>-8.5%</i>
<i>Assumes -0.1% M&A</i>		
EPS	\$1.20	\$1.23

FY'24 Guidance ⁽¹⁾		
	Low End	High End
Net Revenue (\$M)	\$6,710	\$6,810
<i>Y/Y Core Revenue Growth</i>	<i>-0.5%</i>	<i>1.0%</i>
<i>Assumes -1.2% FX, -0.1% M&A</i>		
EPS	\$5.44	\$5.55

Committed to delivering leveraged earnings growth

(1) As of November 20, 2023, based on forecasted currency exchange rates. Presented on a non-GAAP basis.

In summary

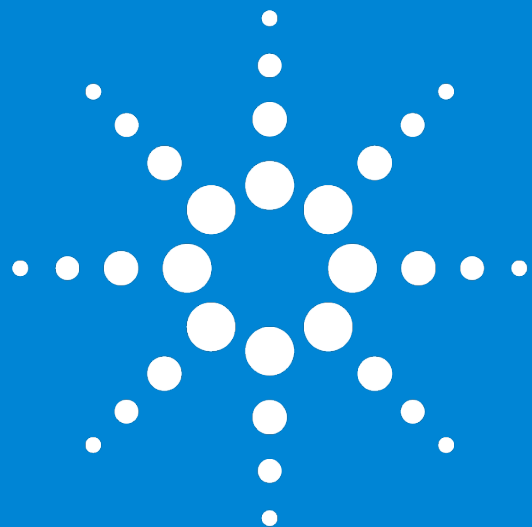
Agilent:

- o participates in **attractive markets with fundamental long-term growth potential**
- o is a **diversified** business with **multiple growth drivers**
- o is driven by a **team focused on our customers** with a **proven track record of success** and **unmatched execution capabilities**

We will continue to:

- o prioritize **investments for growth**
- o expand our base of **recurring revenue**
- o **outgrow the market** and **deliver leveraged earnings**





Agilent

Trusted Answers

AGILENT TECHNOLOGIES, INC.
RECONCILIATIONS OF REVENUE EXCLUDING ACQUISITIONS AND DIVESTITURES
AND THE IMPACT OF CURRENCY ADJUSTMENTS (CORE)
(in millions)
(Unaudited)

	Year Ended October 31,			Year Ended October 31,			Year Ended October 31,			Year Ended October 31,			Year Ended October 31,			Year Ended October 31,			Year Ended October 31,			Year Ended October 31,		
	2023	2022	% Growth	2022	2021	% Growth	2021	2020	% Growth	2020	2019	% Growth	2019	2018	% Growth	2018	2017	% Growth	2017	2016	% Growth	2016	2015	% Growth
GAAP Revenue	\$ 6,833	\$ 6,848	—	\$ 6,848	\$ 6,319	8%	\$ 6,319	\$ 5,339	18%	\$ 5,339	\$ 5,163	3%	\$ 5,163	\$ 4,914	5%	\$ 4,914	\$ 4,472	10%	\$ 4,472	\$ 4,202	6%	\$ 4,202	\$ 4,038	4%
Less: Revenue related to acquisitions and divestitures	(7)	—		(12)	—		(14)	—		(149)	—		(115)	—		(33)	(4)		(17)	(8)		(56)	(61)	
Non-GAAP Revenue	\$ 6,826	\$ 6,848		\$ 6,836	\$ 6,319		\$ 6,305	\$ 5,339		\$ 5,190	\$ 5,163		\$ 5,048	\$ 4,914		\$ 4,881	\$ 4,468		\$ 4,455	\$ 4,194		\$ 4,146	\$ 3,977	
Less: Currency adjustment ^(a)	(122)	—		(230)	—		153	—		(18)	—		(107)	—		95	—		(17)	—		(70)	-	
Agilent Core Revenue	<u>\$ 6,948</u>	<u>\$ 6,848</u>	1.5%	<u>\$ 7,066</u>	<u>\$ 6,319</u>	11.9%	<u>\$ 6,152</u>	<u>\$ 5,339</u>	15.2%	<u>\$ 5,208</u>	<u>\$ 5,163</u>	0.9%	<u>\$ 5,155</u>	<u>\$ 4,914</u>	5.0%	<u>\$ 4,786</u>	<u>\$ 4,468</u>	7.1%	<u>\$ 4,472</u>	<u>\$ 4,194</u>	6.7%	<u>\$ 4,216</u>	<u>\$ 3,977</u>	5.9%

^(a) We compare the year-over-year change in revenue excluding the effect of recent acquisitions and divestitures and foreign currency rate fluctuations to assess the performance of our underlying business. To determine the impact of currency fluctuations, current period results for entities reporting in currencies other than United States dollars are converted into United States dollars at the actual exchange rate in effect during the respective prior periods.

AGILENT TECHNOLOGIES, INC.
NON-GAAP NET INCOME AND DILUTED EPS RECONCILIATIONS
(In millions, except per share amounts)
(Unaudited)

	FY 2023		FY 2022		FY 2021		FY 2020		FY 2019		FY 2018		FY 2017		FY 2016		FY 2015	
	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS
GAAP net income	\$ 1,240	\$ 4.19	\$ 1,254	\$ 4.18	\$ 1,210	\$ 3.94	\$ 719	\$ 2.30	\$ 1,071	\$ 3.37	\$ 316	\$ 0.97	\$ 684	\$ 2.10	\$ 462	\$ 1.40	\$ 438	\$ 1.31
Non-GAAP adjustments:																		
Asset impairments	277	0.94	—	—	2	0.01	99	0.32	—	—	21	0.06	—	—	4	0.01	3	0.01
Restructuring and other related costs	46	0.16	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Intangible amortization	139	0.47	—	—	194	0.63	184	0.59	125	0.39	105	0.32	117	0.36	152	0.46	156	0.47
Transformational initiatives	25	0.08	30	0.10	37	0.12	53	0.17	44	0.14	25	0.08	12	0.04	38	0.12	56	0.17
Acquisition and integration costs	16	0.05	25	0.08	41	0.13	41	0.13	48	0.15	23	0.07	32	0.10	41	0.12	13	0.04
Change in fair value of contingent consideration	1	—	(25)	(0.08)	(21)	(0.07)	—	—	—	—	—	—	—	—	—	—	—	—
Loss on extinguishment of debt	—	—	9	0.03	17	0.06	—	0.06	9	0.03	—	—	—	—	—	—	—	—
Business exit and divestiture costs (gain)	(43)	(0.15)	7	0.02	5	0.02	2	0.01	—	—	9	0.03	—	—	10	0.03	14	0.04
Pension settlement loss	4	0.01	4	0	1	—	4	0.01	—	—	—	—	—	—	—	—	—	—
Pension settlement gain	—	—	—	—	—	—	—	—	—	—	(5)	(0.02)	(32)	(0.10)	(1)	—	—	—
Pension curtailment gain	—	—	—	—	—	—	—	—	—	—	—	—	—	—	(15)	(0.05)	—	—
Net loss (gain) on equity securities	42	0.14	63	0.21	(92)	(0.30)	(28)	(0.09)	—	—	—	—	—	—	—	—	—	—
Gain on step acquisition of Lasergen	—	—	—	—	—	—	—	—	—	—	(20)	(0.06)	—	—	—	—	—	—
NASD site costs	—	—	—	—	—	—	—	—	12	0.04	8	0.02	—	—	—	—	—	—
Special compliance costs	9	0.03	—	—	—	—	—	—	2	0.01	4	0.01	—	—	—	—	—	—
Impairment of investment and loans	—	—	—	—	—	—	—	—	—	—	—	—	—	—	25	0.08	—	—
Other	11	0.04	12	0.04	9	0.03	10	0.04	29	0.09	(10)	(0.03)	5	0.02	6	0.02	5	0.01
Adjustment for Tax Reform	—	—	—	—	—	—	—	—	—	—	552	1.70	—	—	—	—	—	—
Tax benefit on intra-entity asset transfer	—	—	—	—	—	—	—	—	(299)	(0.94)	—	—	—	—	—	—	—	—
Adjustment for taxes ^(a)	(158)	(0.52)	(5)	(0.01)	(71)	(0.23)	(61)	(0.20)	(52)	(0.17)	(121)	(0.36)	(50)	(0.16)	(71)	(0.21)	(102)	(0.31)
Non-GAAP net income	<u>\$ 1,609</u>	<u>\$ 5.44</u>	<u>\$ 1,374</u>	<u>\$ 4.58</u>	<u>\$ 1,332</u>	<u>\$ 4.34</u>	<u>\$ 1,023</u>	<u>\$ 3.28</u>	<u>\$ 989</u>	<u>\$ 3.11</u>	<u>\$ 907</u>	<u>\$ 2.79</u>	<u>\$ 768</u>	<u>\$ 2.36</u>	<u>\$ 651</u>	<u>\$ 1.98</u>	<u>\$ 583</u>	<u>\$ 1.74</u>

^(a) The adjustment for taxes excludes tax benefits that management believes are not directly related to on-going operations and which are either isolated or cannot be expected to occur again with any regularity or predictability. For the years ended October 31, 2023, October 31, 2022, October 31, 2021, October 31, 2020, October 31, 2019, October 31, 2018, October 31, 2017, October 31, 2016 and October 31, 2015, management used a non-GAAP effective tax rate of 13.75%, 14.00%, 14.25%, 15.25%, 16.75%, 18.00%, 18.00%, 19.00% and 20.00%, respectively.

Historical amounts are reclassified to conform with current presentation.

We provide non-GAAP net income and non-GAAP net income per share amounts in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, charges related to asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, change in fair value of contingent consideration, loss on extinguishment of debt, business exit and divestiture costs, pension settlement loss, pension settlement gain, pension curtailment gain, net loss (gain) on equity securities, gain on step acquisition of Lasergen, NASD site costs, special compliance costs, impairment of investment and loans, adjustment for Tax Reform and tax benefit on intra-entity asset transfer.

Asset impairments include assets that have been written-down to their fair value.

Restructuring and other related costs include incremental expenses incurred in the period associated with restructuring programs, usually aimed at changes in business and/or cost structure. Such costs may include one-time termination benefits, facility-related costs and contract termination fees.

Transformational initiatives include expenses associated with targeted cost reduction activities such as manufacturing transfers, site consolidations, legal entity and other business reorganizations, insourcing or outsourcing of activities. Such costs may include move and relocation costs, one-time termination benefits and other one-time reorganization costs. Included in this category are also expenses associated with company programs to transform our product lifecycle management (PLM) system and human resources and financial systems.

Acquisition and integration costs include all incremental expenses incurred to effect a business combination. Such acquisition costs may include advisory, legal, tax, accounting, valuation, and other professional or consulting fees. Such integration costs may include expenses directly related to integration of business and facility operations, the transfer of assets and intellectual property, information technology systems and infrastructure and other employee-related costs.

Change in fair value of contingent consideration represents changes in the fair value estimate of acquisition-related contingent consideration.

Loss on extinguishment of debt for the year ended October 31, 2022 relates to the net loss recorded on the redemption of the \$600 million outstanding 3.875% 2023 senior notes due on July 15, 2023, called on April 4, 2022 and settled on May 4, 2022. For the year ended October 31, 2021, it relates to the net loss recorded on the redemption of the \$100 million of the \$400 million outstanding 3.2% 2022 senior notes due on October 1, 2022, called on December 22, 2020 and settled on January 21, 2021 and the net loss recorded on the redemption of the remaining \$300 million called on March 5, 2021 and settled on April 5, 2021. For the year ended October 2019, it relates to the net loss recorded on full redemption of \$500 million of outstanding 5.00% senior notes due July 2020, called on August 16, 2019 and settled on September 17, 2019.

Business exit and divestiture costs (gain) include costs and gain associated with business divestitures.

Pension settlement loss relates to the relief of the US Retirement Plan pension obligation due to increased lump sum payouts over a specified accounting threshold.

Pension settlement gain resulted from transfer of the substitutional portion of our Japanese pension plan to the government.

Pension curtailment gain resulted from certain retirement plans benefit reductions.

Net loss (gain) on equity securities relates to the realized and unrealized mark-to-market adjustments for our marketable and non-marketable equity securities.

Gain on step acquisition of Lasergen resulted from the measurement at fair value of our equity interest held at the date of business combination.

NASD site costs include all the costs related to the expansion of our manufacturing of nucleic acid active pharmaceutical ingredients incurred prior to the commencement of commercial manufacturing.

Special compliance costs include costs associated with transforming our processes to implement new regulations such as the EU's General Data Protection Regulation (GDPR), revenue recognition and certain tax reporting requirements.

Impairment of investment and loans include investments and their related convertible loans that have been written down to their fair value.

Other includes certain legal costs and settlements and acceleration of share-based compensation expense in addition to other miscellaneous adjustments.

Adjustment for Tax Reform primarily consists of an estimated provision of \$499 million for U.S. transition tax and correlative items on deemed repatriated earnings of non-U.S. subsidiaries and an estimated provision of \$53 million associated with the decrease in the U.S. corporate tax rate from 35% to 21% and its impact on our U.S. deferred tax assets and liabilities. The taxes payable associated with the transition tax, net of tax attributes, on deemed repatriation of foreign earnings is approximately \$426 million, payable over 8 years.

Tax benefit on intra-entity asset transfer relates to our operations in Singapore along with our application of the new accounting rules for income tax consequences of intra-entity transfer of assets as adopted on November 1, 2018.

Our management uses non-GAAP measures to evaluate the performance of our core businesses, to estimate future core performance and to compensate employees. Since management finds this measure to be useful, we believe that our investors benefit from seeing our results “through the eyes” of management in addition to seeing our GAAP results. This information facilitates our management’s internal comparisons to our historical operating results as well as to the operating results of our competitors.

Our management recognizes that items such as amortization of intangibles can have a material impact on our cash flows and/or our net income. Our GAAP financial statements including our statement of cash flows portray those effects. Although we believe it is useful for investors to see core performance free of special items, investors should understand that the excluded items are actual expenses that may impact the cash available to us for other uses. To gain a complete picture of all effects on the company’s profit and loss from any and all events, management does (and investors should) rely upon the GAAP income statement. The non-GAAP numbers focus instead upon the core business of the company, which is only a subset, albeit a critical one, of the company’s performance.

Readers are reminded that non-GAAP numbers are merely a supplement to, and not a replacement for, GAAP financial measures. They should be read in conjunction with the GAAP financial measures. It should be noted as well that our non-GAAP information may be different from the non-GAAP information provided by other companies.

AGILENT TECHNOLOGIES, INC.
RECONCILIATION OF ADJUSTED NON-GAAP INCOME FROM OPERATIONS AND OPERATING MARGINS
(In millions, except margin data)
(Unaudited)

	FY 2023	Operating Margin %	FY 2022	Operating Margin %	FY 2021	Operating Margin %	FY 2020	Operating Margin %	FY 2019	Operating Margin %	FY 2018	Operating Margin %	FY 2017	Operating Margin %	FY 2016	Operating Margin %	FY 2015	Operating Margin %
Agilent GAAP Revenue	\$ 6,833		\$ 6,848		\$ 6,319		\$ 5,339		\$ 5,163		\$ 4,914		\$ 4,472		\$ 4,202		\$ 4,038	
Income from operations:																		
GAAP Income from operations	\$ 1,350		\$ 1,618		\$ 1,347		\$ 846		\$ 941		\$ 928		\$ 841		\$ 615		\$ 522	
Pension reclass adjustment	—		—		—		—		—		\$ (24)		\$ (34)		(28)		(19)	
GAAP income from operations	\$ 1,350	19.8%	\$ 1,618	23.6%	\$ 1,347	21.3%	\$ 846	15.8%	\$ 941	18.2%	\$ 904	18.4%	^(a) \$ 807	18.0%	^(a) \$ 587	14.0%	^(a) \$ 503	12.5%
Add:																		
Asset impairments	277		—		2		99		—		21		—		4		3	
Restructuring and other related costs	46		—		—		—		—		—		—		—		—	
Intangible amortization	139		191		194		184		125		105		117		152		156	
Transformational initiatives	25		30		37		53		44		25		12		38		56	
Business exit and divestiture costs	—		7		5		2		—		9		—		11		12	
Acquisition and integration costs	16		25		41		41		48		23		30		41		13	
Change in fair value of contingent consideration	1		(25)		(21)		—		—		—		—		—		—	
NASD site costs	—		—		—		—		12		8		—		—		—	
Special compliance costs	9		—		—		—		2		4		—		—		—	
Impairment of investment and loans	—		—		—		—		—		—		—		7		—	
Other	12		11		8		31		30		5		7		7		5	
Non-GAAP income from operations	\$ 1,875	27.4%	\$ 1,857	27.1%	\$ 1,613	25.5%	\$ 1,256	23.5%	\$ 1,202	23.3%	\$ 1,104	22.5%	^(a) \$ 973	21.7%	^(a) \$ 847	20.2%	^(a) \$ 748	18.5%

^(a) Adjusted to include the impact of pension expense reclassification due to adoption of new accounting pronouncement as of November 1, 2018.

We provide non-GAAP income from operations in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, charges related to asset impairments, restructuring and other related costs, amortization of intangibles, transformational initiatives, business exit and divestiture costs, acquisition and integration costs, change in fair value of contingent consideration, NASD site costs, special compliance costs and impairment of investment and loans.

Our management recognizes that items such as amortization of intangibles can have a material impact on our cash flows and/or our net income. Our GAAP financial statements including our statement of cash flows portray those effects. Although we believe it is useful for investors to see core performance free of special items, investors should understand that the excluded items are actual expenses that may impact the cash available to us for other uses. To gain a complete picture of all effects on the company's profit and loss from any and all events, management does (and investors should) rely upon the GAAP income statement. The non-GAAP numbers focus instead upon the core business of the company, which is only a subset, albeit a critical one, of the company's performance.

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